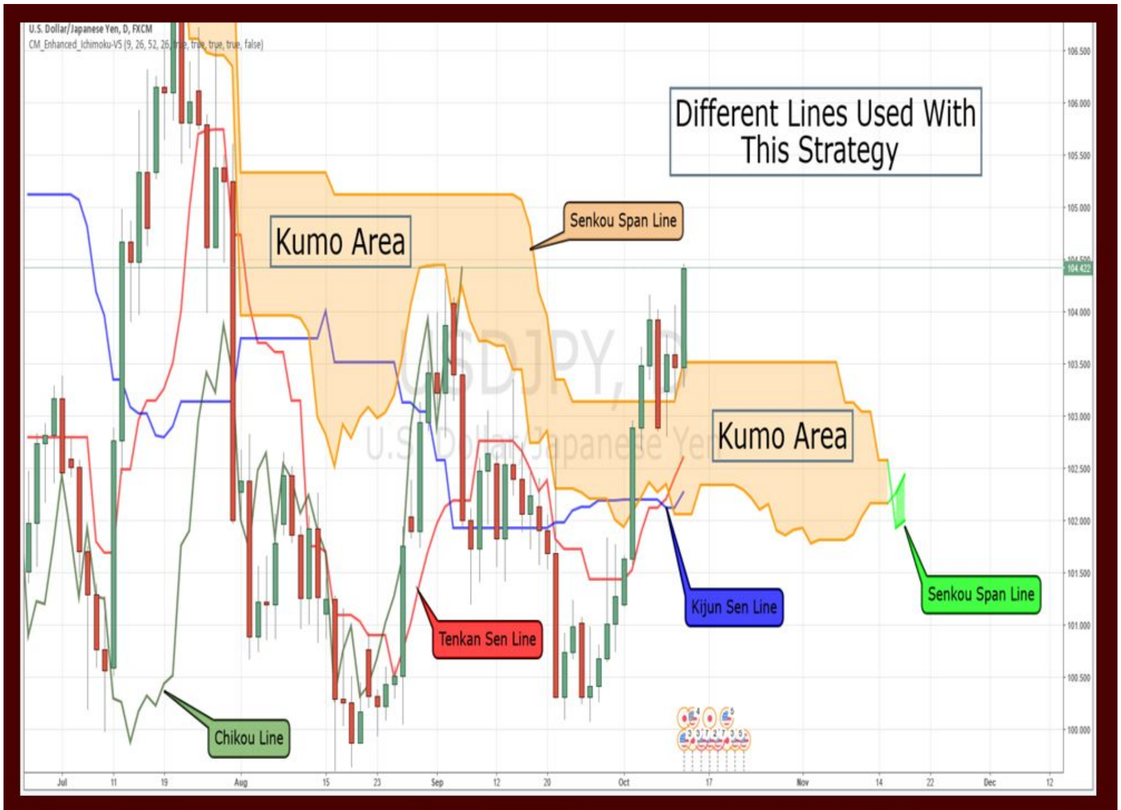


The Trend Following Trading Strategy

Maximize your Trades by easily finding the trend and following it

By TradingStrategyGuides.com

Trend Following Strategy Guide

I am on a mission to give each and every trader the opportunity to be successful by learning strategies that will best suit them.

By the end of this report, you will be able to find a trend and identify if that trend will stay strong so that you can enter in and out of trades to gain a monumental amount of pips on a trade!

This report is about to teach you how to use an indicator, called the Ichimoku Indicator, to follow trends and enter and exit trades successfully by following a simple strategy.

In the late 1930s, a man named Goichi Hosoda developed the Ichimoku system. His goal was to inspect charts swiftly while getting a vast amount of detail in that time frame. This system is known as a “one glance cloud chart.”

The Trend Following Trading Strategy, with a little practice, will make it almost effortless to enter and exit trades successfully. This will be done by inspecting charts quickly and getting a massive amount of data in just seconds to confirm if you should enter a trade!

Do not be intimidated by learning a new strategy using the Ichimoku. This guide will give you step by step instructions to enter an uptrend or downtrend and follow it to possibly hundreds of pips at a time.

Now since we know the goals of this strategy, let’s dive into the basics of this indicator and learn this amazing strategy!

Ichimoku Indicator Basics:

Before we get started with this trading strategy, let me explain how this indicator works. There are 5 lines and they are all different colors to make it easy to identify the different lines.

Kijun Sen (blue line): This line can also be called the standard line and even the base line. The way that this is calculated, is by averaging the highest high and the lowest low for the past 26 periods.

Tenkan Sen (red line): This line is called the turning line. The calculation for this line is averaging the highest high and the lowest low for the past nine periods.

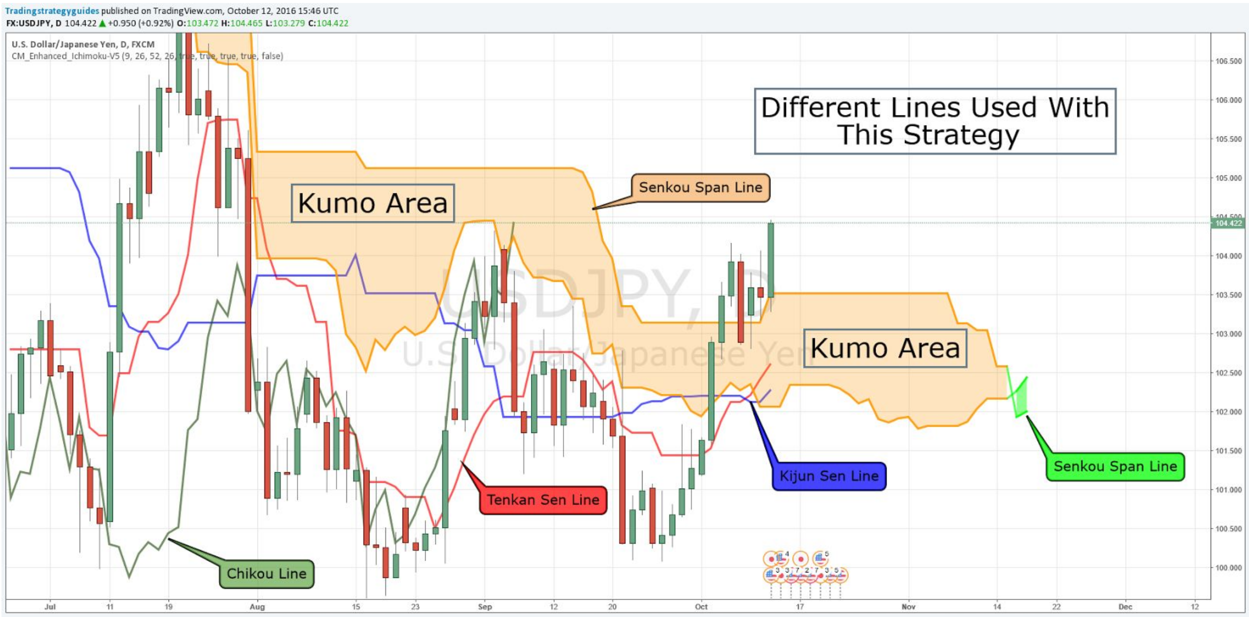
Chikou Span (dark green line): What this line does is give you the closing price of today and is plotted 26 periods behind.

Senkou Span (lime green, orange,): Two lines make up the Senkou Span. The first line (lime green)is calculated by the average of Tenkan and Kijun Sen and is plotted 26 periods ahead. The second line (orange)is determined by averaging the highest high and the lowest low for the past 52 periods and plotted 26 periods ahead.

Kumo Area The area in between the two points of the Senkou span is called Kumo. This can be defined as the space between senkou span A and B. The cloud edges identify current and potential future support and resistance points. In the future examples, you can easily identify this by the lime green/orange "cloud".

Note* These settings are the default settings for this indicator. They can be adjusted but for this strategy, it needs to be used with the default settings.

Below will give you a great visual on what these different lines look like in a chart. As you can see each line is colored to make it simple to identify each of these.



This strategy should be used on higher time frames like the 30 minute,1 hour, 4 hour, 1 day, or even a month! The reason? Well this particular indicator follows trends so a lower time frame, such as a minute time frame, will possibly give you a false reading.

Step One: Find the Uptrend or Downtrend

SInce this is a trend following strategy the first thing that needs to be identified is a trend. Do this on the one day, or four hour time frame. These time frames will give you the best opportunity to identify a trend.

In the example below we see an upward trend with three levels of support

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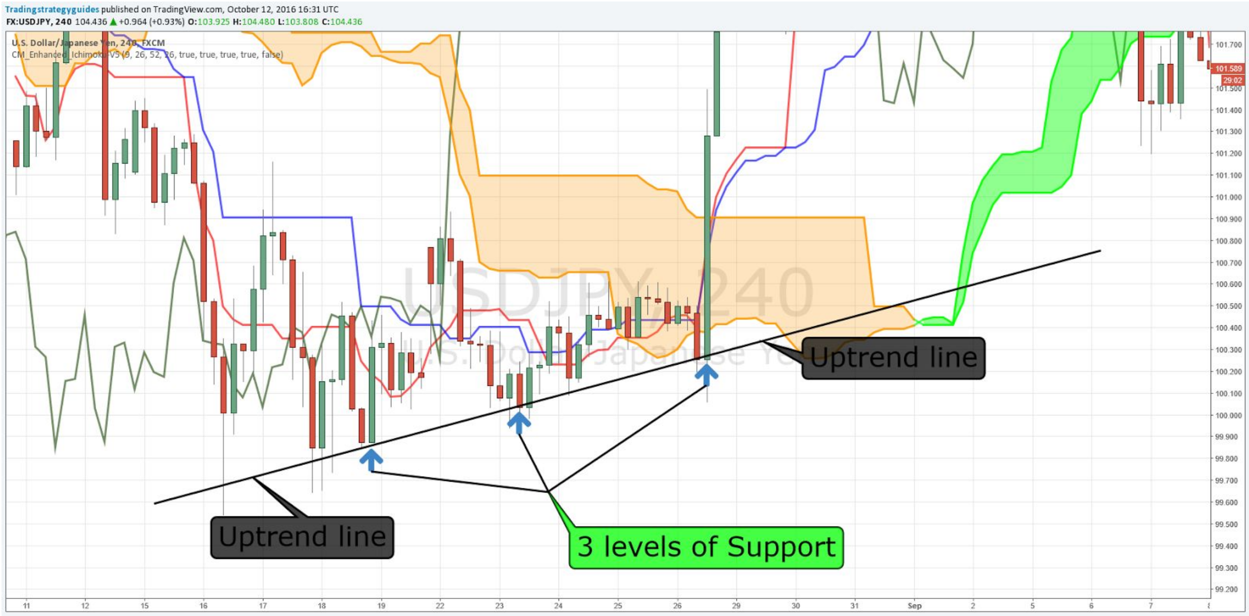


Drawing trend lines is one of the simplest ways to find a trend. Draw the trend line where there is support or resistance. The example above has three different levels of support to confirm this uptrend.

Perfect, let's move on to the next step.

Step Two: The Tenkan Sen/ Kijun Sen Lines Cross

Now I will explain what criteria is needed for a trade entry.

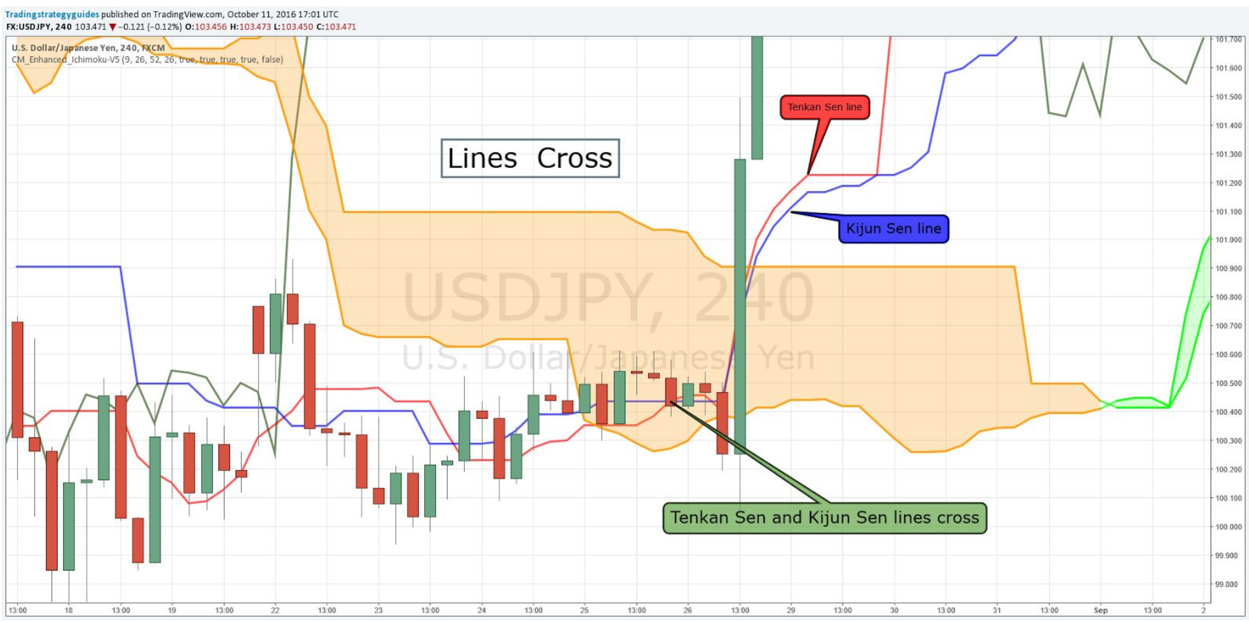
Just to keep you on track, on the Tenkan Sen lines are Red, Kijun Sen lines are Blue. This crossing signal is going to tell you whether there is a strong bullish trend or a bearish trend.

When the Tenkan Sen line will cross above the Kijun Sen line, then this will give you an indication that there is a bullish trend.

You can see in the example below the lines clearly cross which is our indication that this bullish uptrend is strong.

These line are designed to do that very thing when they cross each other.

After the cross happened the blue line (Kijun) is now below the red line (Tenkan). That means that the trend is going to keep heading upwards. This is not an indication that the trend is breaking.



This was used on a four hour chart. This chart is the best time frame to use because it gives you a good overall picture of how the last few days have gone as far as it trending.

In this timeframe, The lines need to cross either in the Kumo, which in the picture above is orange area, or right above the cloud in this example. This was buy signal because the trend was bullish while the Tenkan Sen line crossed above the Kijun Sen line in the senkou span area (Kumo).

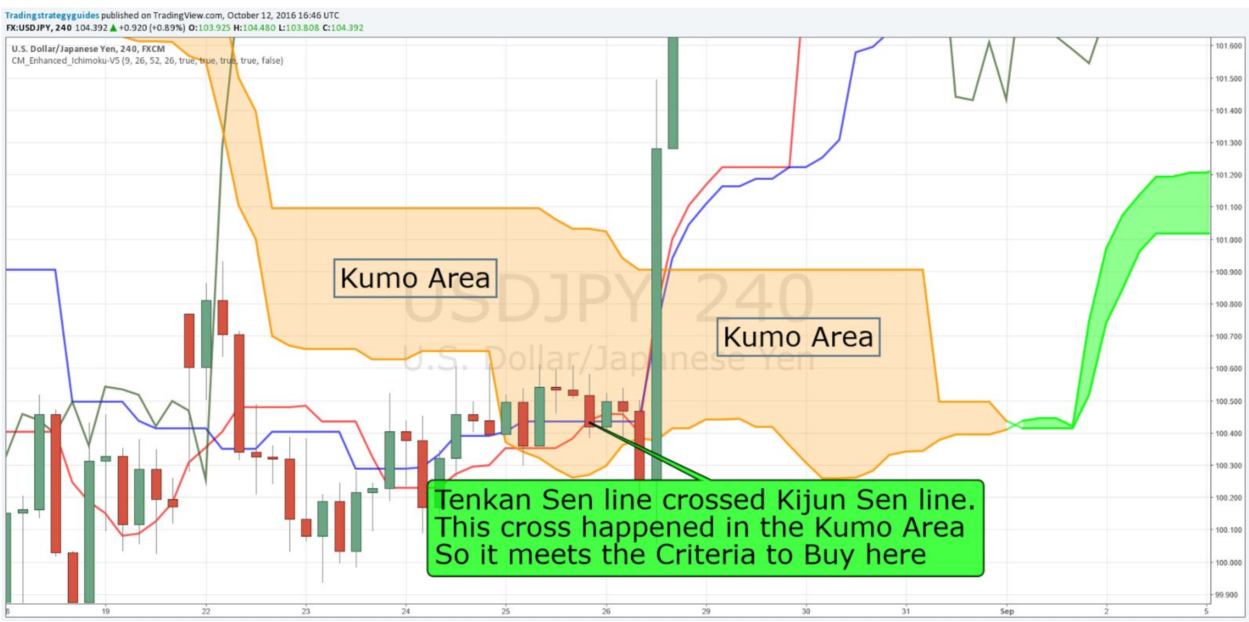
Note* If the lines cross **below** the Kumo area in an uptrend, do not buy/sell. This can also be applied to a downtrend. If the lines cross **above** the Kumo area in a downtrend, do not sell/buy.

Recapping our rules, these three things must happen in order to enter a trade.

1. Identify the trend. This needs to be an upward or downward trend.

2. Tenkan Sen line needs to cross Kijun Sen line.

3. The lines need to cross either in the Kumo area. Or, in a upward trend they need to cross above the Kumo area. In a downward trend they need to cross below the Kumo area.



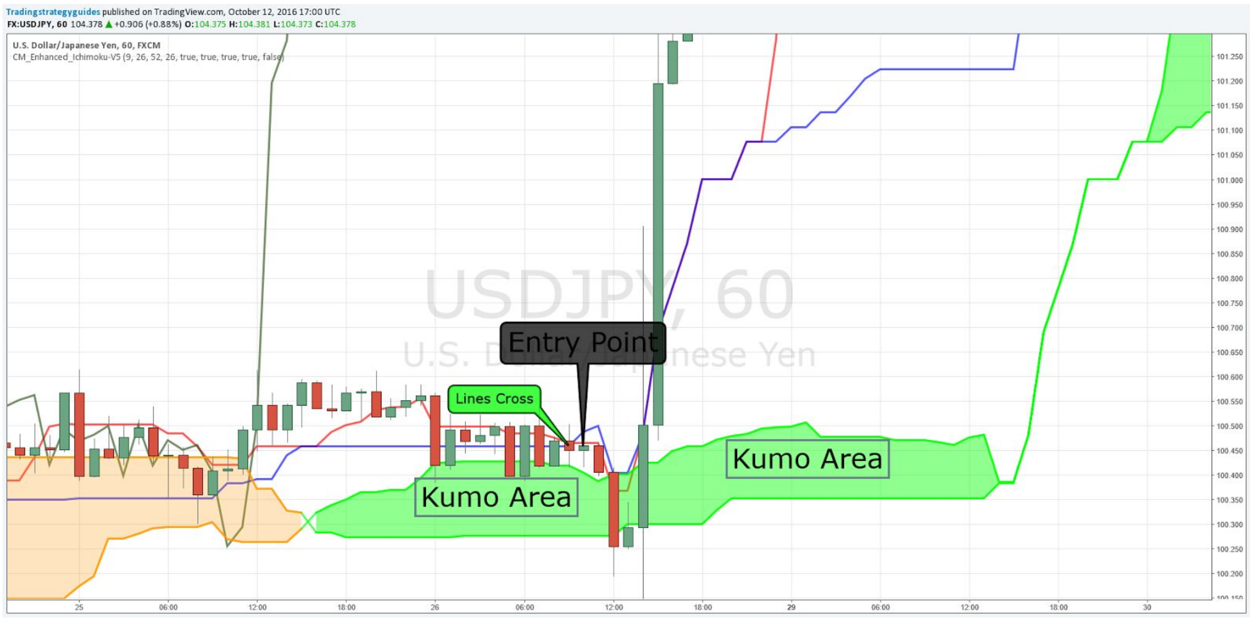
In our example, if the lines crossed below that Kumo area, this trade would not meet the criteria. But it crossed in the Kumo area so it met the criteria.

Note* This strategy is a trend following strategy. It is to help you identify a trend and identify that the trend will keep going either upward or downward.

Step 3: Determining an entry point

Determining an entry point should be very easy to do now. This is because once the Tenkan sen line crossed with the Kijun sen line either in the Kumo or just above or below on the four hour time frame.

Now, look at the four hour or one hour time frame chart and enter the trade. You may check other time frames, but there really is no need since you have already followed the rules to enter the trade.. This is just to give you a better perspective on where you are entering.



Step 4: Stop Loss point

Stop loss is always important to have in case the trade goes in the wrong direction and you are now stuck in a pickle whether to end the trade early or end it too late and lose it all!

So we need a stop loss to help us out. Do this on the four hour time chart to see when the last areas of support or resistance were.

There needs to be two or more points of resistance or support. In the example below you see that there were support levels. So in this example it will go just below them.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FX:USDJPY, 240 103.955 ▲ +0.483 (+0.47%) O:103.591 H:103.988 L:103.539 C:103.955
U.S. Dollar/Japanese Yen, 240, FXCM
CM_Enhanced_Ichimoku-V5 (9, 26, 52, 26, true, true, true, true, false)
Entry Point
Place Stop Loss Here
Support Level Points
100.459
99.767
102.541

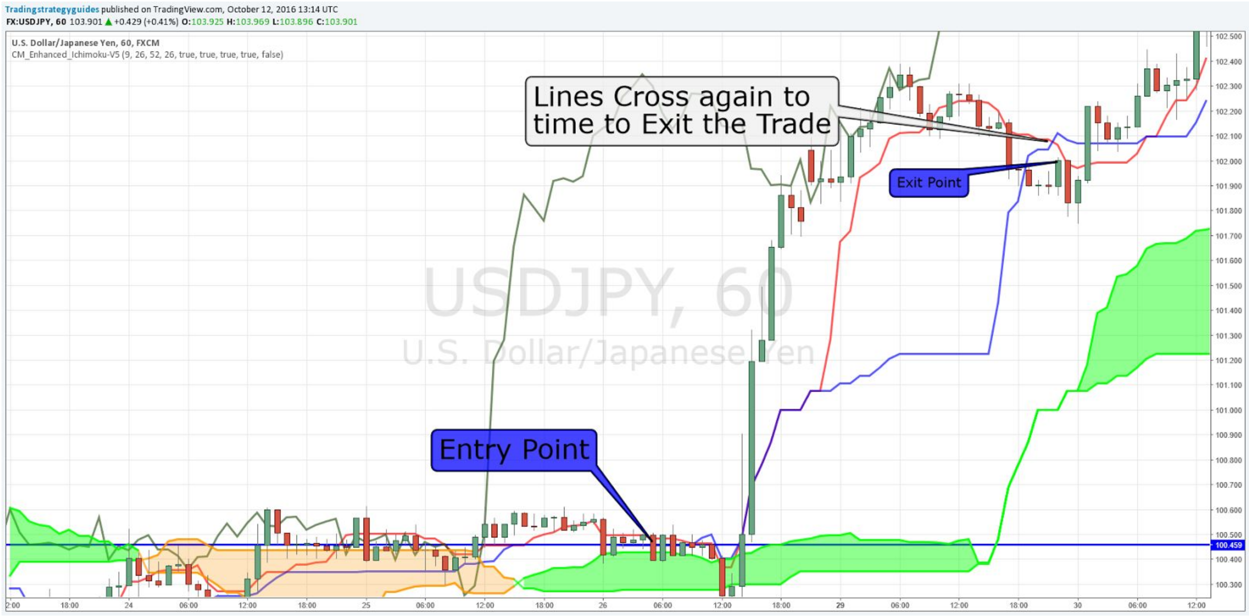
Step five: Exit Strategy

The exit strategy will wait until and trend starts moving the wrong direction and the lines cross again. It is recommended to monitor this on the one, and four hour time frame to get the most accurate reading for this particular strategy.

The reason for this is that the trend is most likely coming to an end.

In our example The trend can come back down, but once the lines cross over again it is time to exit the trade.

As you can see in the example the trend was slowly going back down. In the rules of this strategy you will exit the trade if the lines cross over again.



So a trade may be 2 hours, 10 hours, 3 days or even a week! It depends on what the chart tells you and if it continues to follow the rules of the strategy.

Conclusion

The strategy only uses this one indicator. That makes you focus on this indicator and does not make you have to keep checking others to see what they are telling you.

It may seem complicated at first with all of the different colored lines, clouds, and so on, however, when you break it down with this simple strategy, it makes it so much easier to understand.

Make sure you remember to only be risking no more than 2% of your account! No matter how confident you are, you should always follow this to maximize your account.

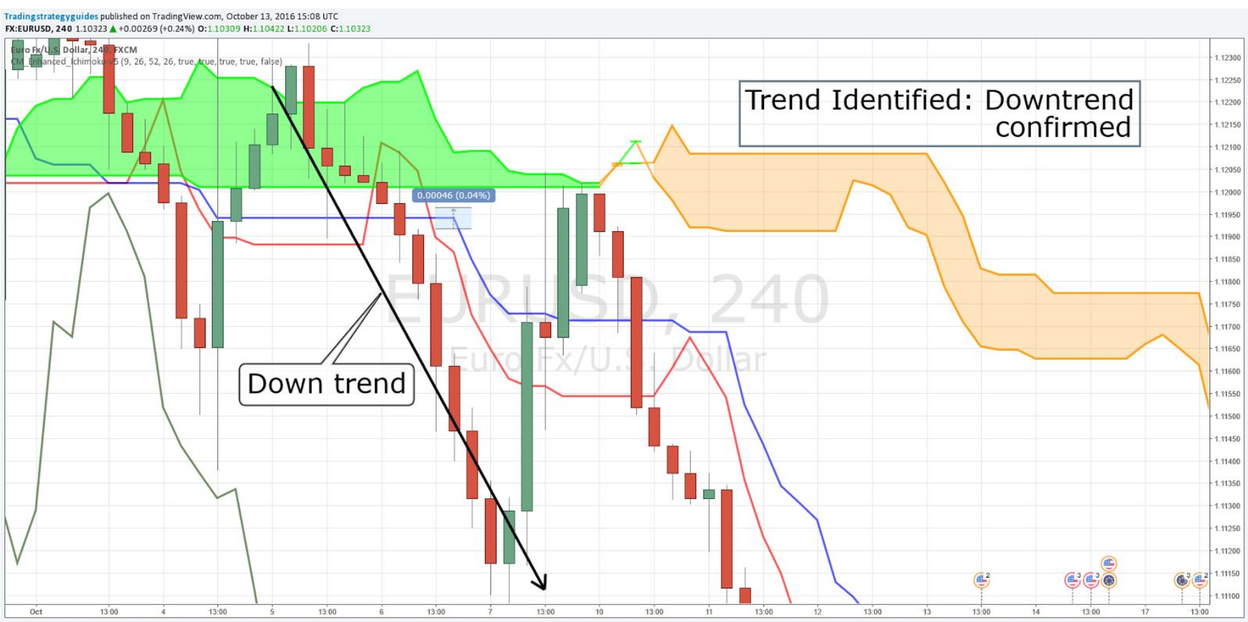
If for any reason you had any questions, or suggestions about this strategy you can always reach us at info@tradingstrategyguides.com

Thank you for reading this strategy, and use this strategy to help you gain massive amount of pips at a time!

Below are great examples of this strategy working to perfection. Check them out to see why you need to use this strategy right now!

Example One: A Current Trade

Step One: Find the Uptrend or Downtrend



Downtrend confirmed

Step Two: The Tenkan Sen/ Kijun Sen Lines Cross

The lines cross below Kumo area. Strong signal that trend will continue.

Step Three: Determine the entry

Entry after lines cross

Step Four: Place Stop Loss

Place the stop loss past last resistance level.

Stop loss was placed after them areas of resistance. What a great placement!

Step five: Exit strategy.

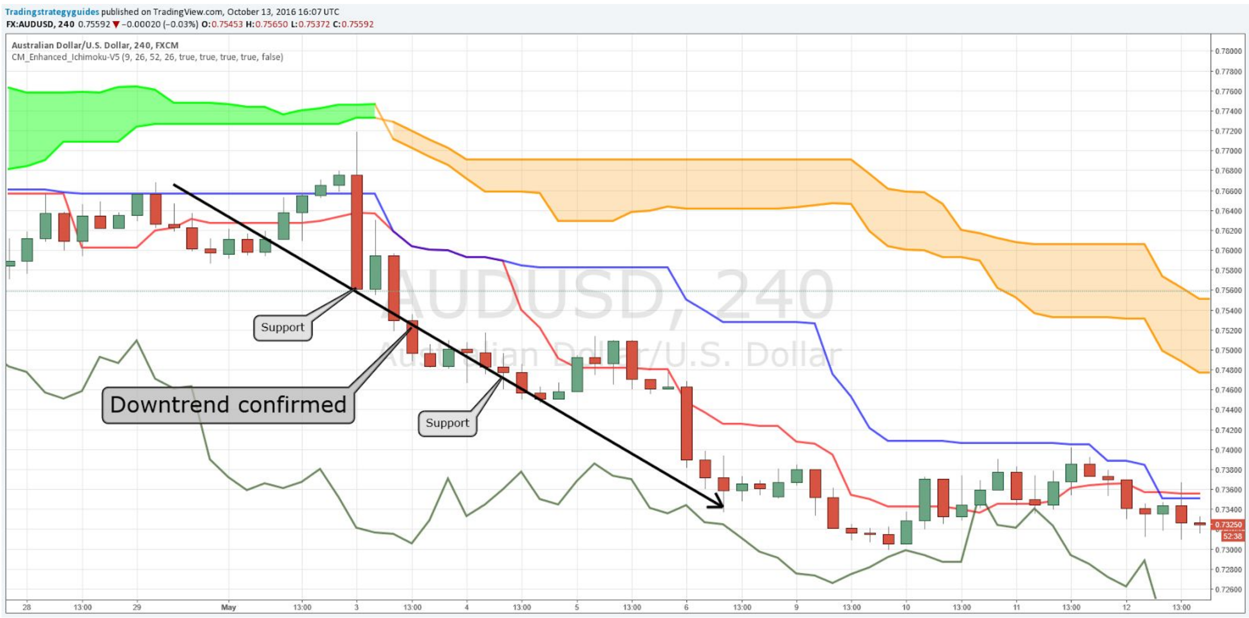
This downtrend is still going strong and this trade is sitting at +116 pips. Once the lines cross over again exit the trade since that indicated that the trend is broken.

What an amazing looking trade this is!

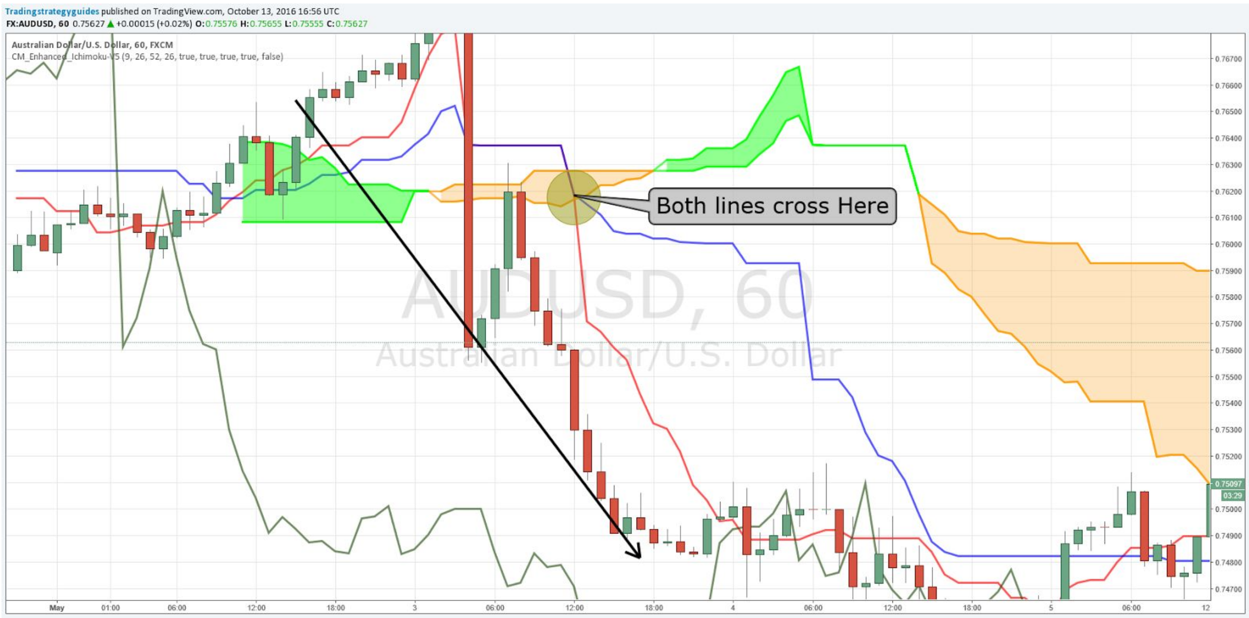
Example 2: A Nice Downtrend Trade!

Step One: Find the Uptrend or Downtrend

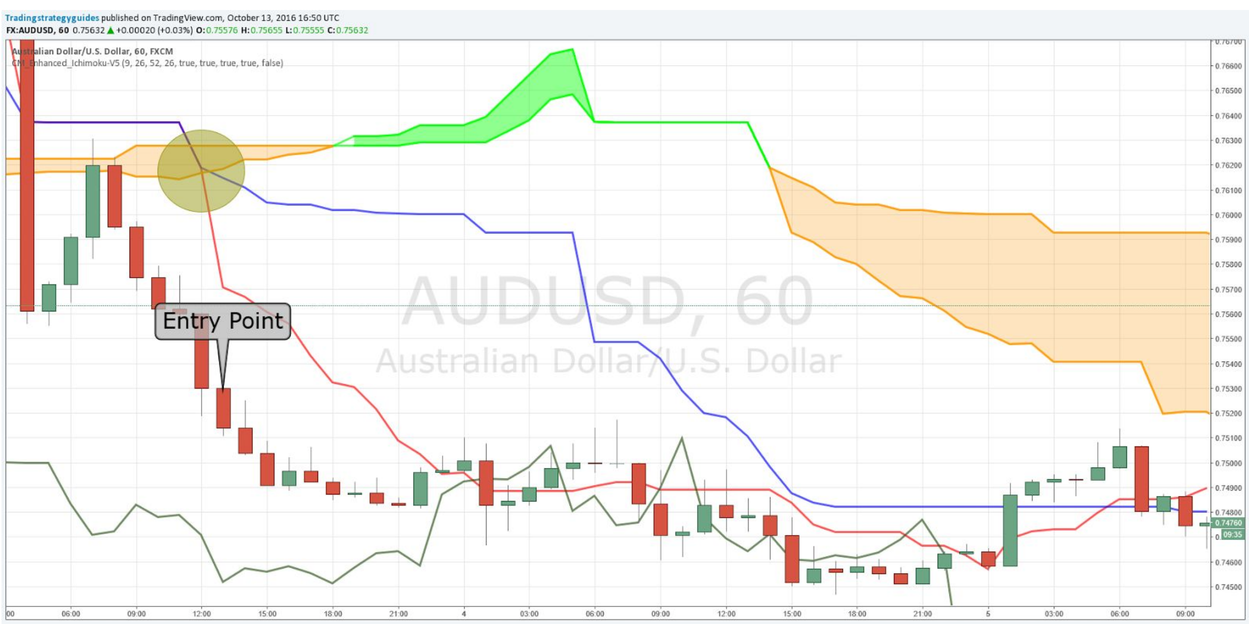
Downtrend confirmed



Step Two: The Tenkan Sen/ Kijun Sen Lines Cross



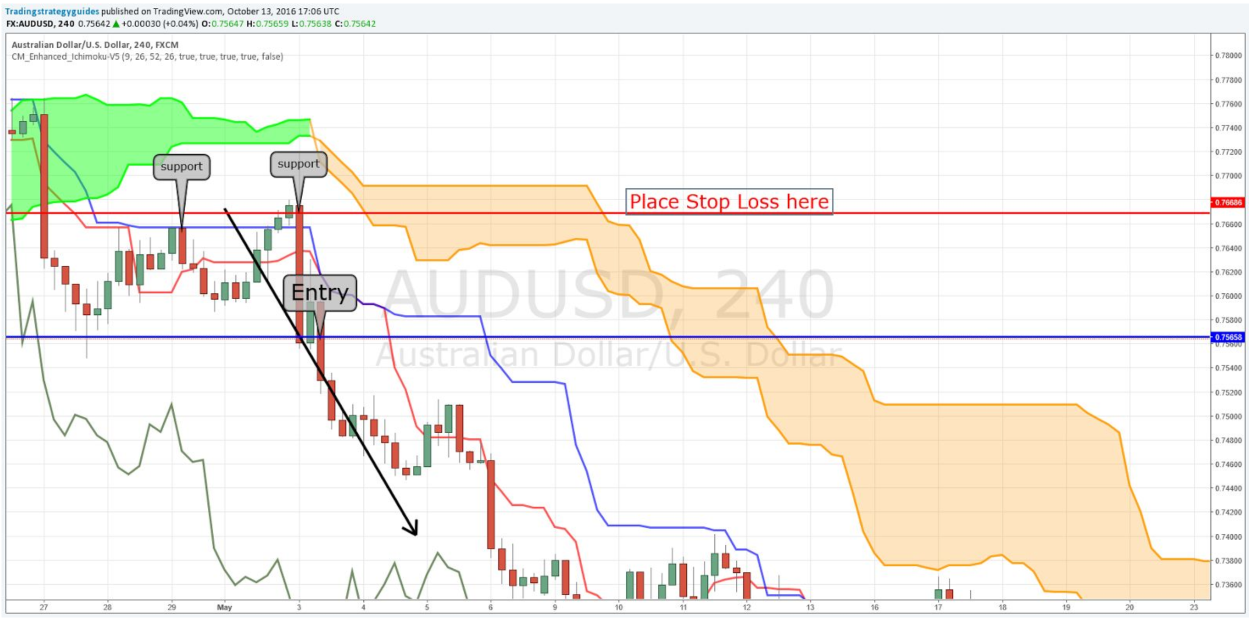
Step Three: Determine the entry



The lines crossed signing this downtrend is strong so we SELL this trade because this is a trend following strategy.

Step 4: Stop Loss point

Place the stop loss at the point there were past areas of support.

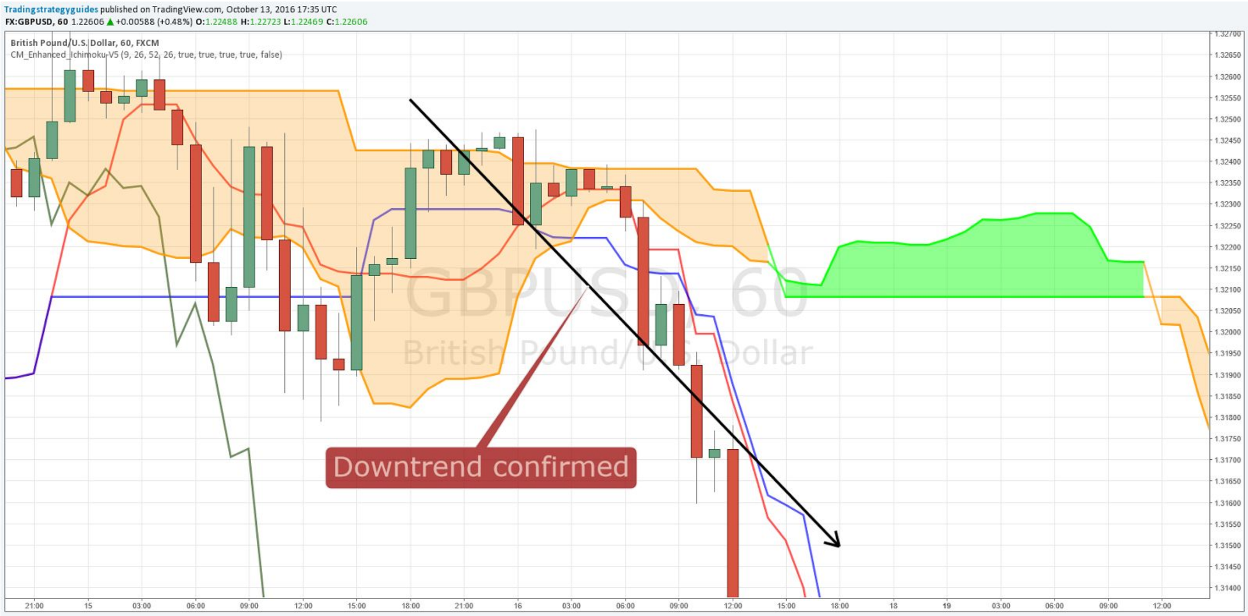


Step five: Exit strategy.

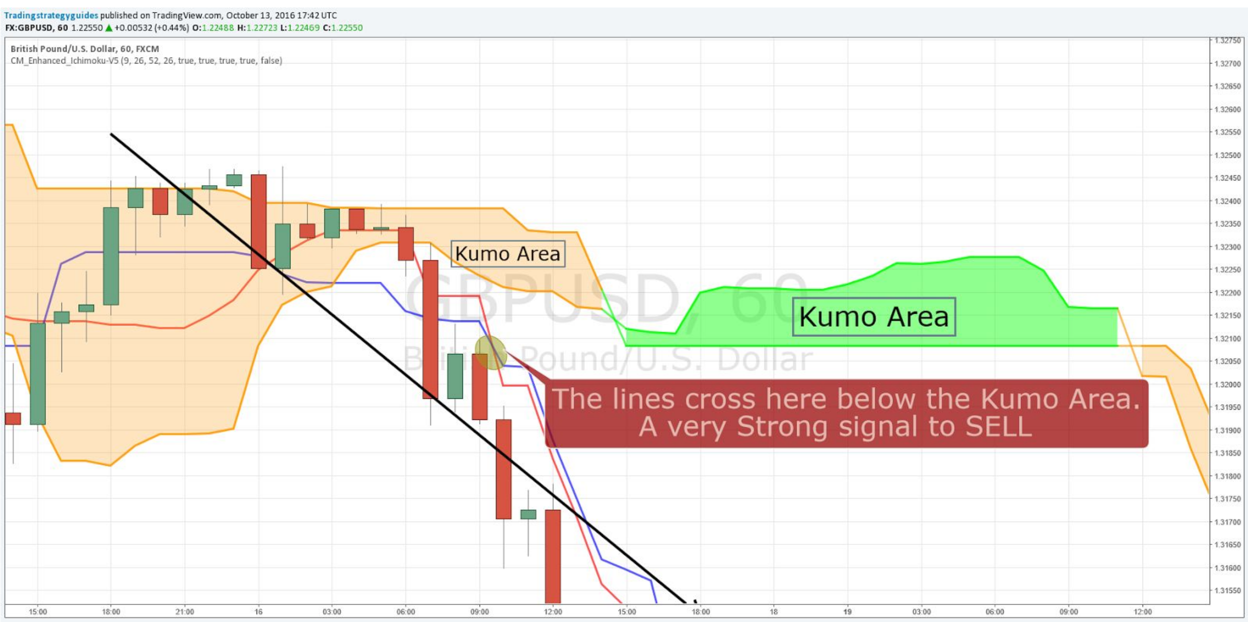
This trade was an amazing trade. The lines did not cross until it got a total of +222. Wow! The strategy worked to perfection.

Example #3: An Extraordinary 3 Day Trade

Step One: Find the Uptrend or Downtrend

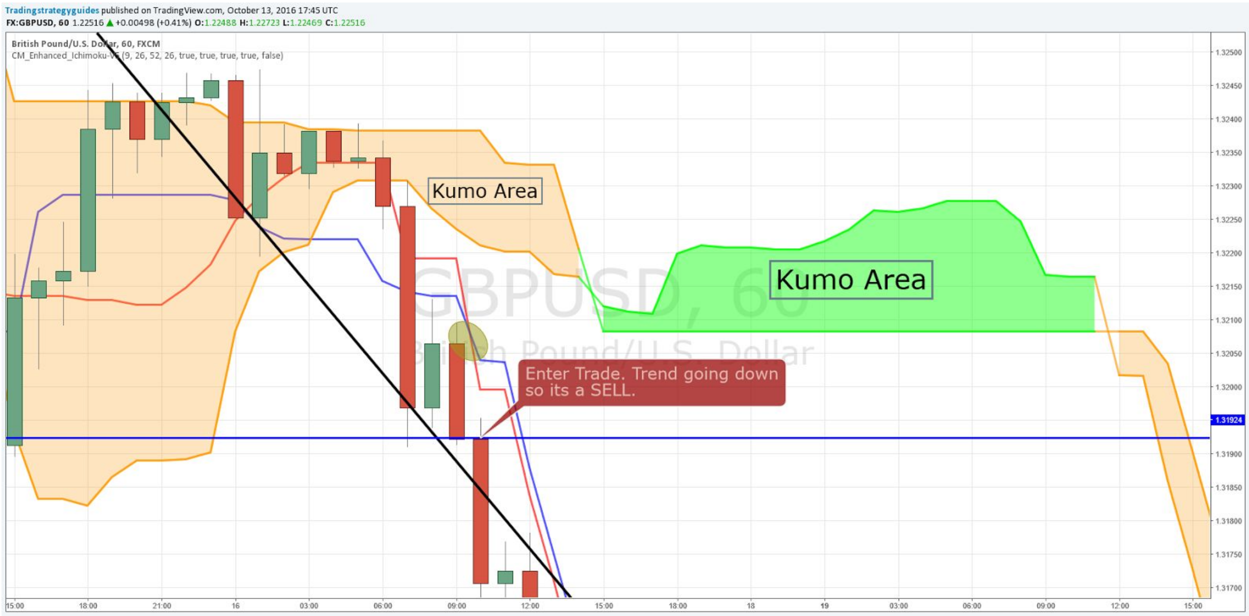


Step Two: The Tenkan Sen/ Kijun Sen Lines Cross



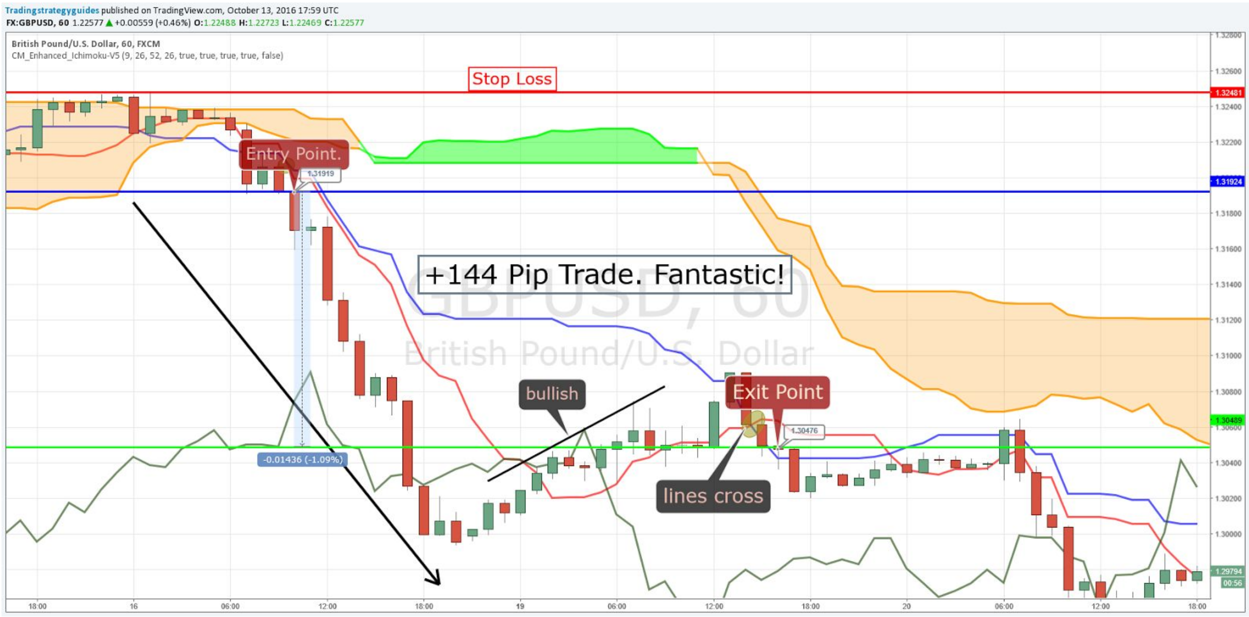
Notice how the lines cross below Kumo area. This is a great sign that the trend will keep going and not break.

Step Three: Determine the entry



Step 4: Stop Loss point

Step five: Exit strategy.



Thank you for reading this trading strategy and I hope that you can follow this step by step trend Following Strategy Guide to gain hundreds or even thousands of pips!

Again, If for any reason you had any questions, or suggestions about this strategy you can always reach us at info@tradingstrategyguides.com

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